7. Purchases of fixed assets on credit basis is recorded in
   (a) Purchases book (b) Sales book
   (c) Purchases returns book (d) Journal proper

8. The source document or voucher used for recording entries in sales book is
   (a) Debit note (b) Credit note
   (c) Invoice (d) Cash receipt

9. Which of the following statements is not true?
   (a) Cash discount is recorded in the books of accounts
   (b) Assets purchased on credit are recorded in journal proper
   (c) Trade discount is recorded in the books of accounts
   (d) 3 grace days are added while determining the due date of the bill

10. Closing entries are recorded in
   (a) Cash book (b) Ledger
   (c) Journal proper (d) Purchases book

Answer

1. (c)	2. (a)	3. (c)	4. (a)	5. (a)	6. (b)	7. (d)	8. (c)	9. (c)	10. (c)

II Very short answer questions

1. Mention four types of subsidiary books.
2. What is purchases book?
3. What is purchases returns book?
4. What is sales book?
5. What is sales returns book?
6. What is debit note?
7. What is credit note?
8. What is journal proper?
9. Define bill of exchange.
10. What is an opening entry?
11. What is an invoice?

III Short answer questions

1. Give the format of purchases book.
2. Mention the subsidiary books in which the following transactions are recorded.
   (i) Sale of goods for cash
   (ii) Sale of goods on credit
   (iii) Purchases of goods on credit
   (iv) When the proprietor takes goods for personal use
   (v) Goods returned to suppliers for which cash is not received immediately
   (vi) Asset purchased as credit.
3. What are the advantages of subsidiary books?

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